

9-1c Leasing Fixed Assets

A *lease* is a contract for the use of an asset for a period of time. Leases are often used in business. For example, automobiles, computers, medical equipment, buildings, and airplanes are often leased.

The two parties to a lease contract are as follows:

- The *lessor* is the party who owns the asset.
- The *lessee* is the party to whom the rights to use the asset are granted by the lessor.

Under a lease contract, the lessee pays rent on a periodic basis for the lease term. An advantage of leasing an asset is that the lessee has access to an asset without having to spend funds or obtain financing to buy the asset. In addition, expenses such as maintenance and repair costs may be the responsibility of the lessor. Finally, the risk of incurring additional cost because the asset becomes obsolete before the end of its useful life can be mitigated by leasing an asset.

The Financial Accounting Standards Board (FASB) and the International Accounting Standards Board (IASB) recently completed a project to merge U.S. and international standards on leasing. The new FASB standard distinguishes between finance leases and operating leases. Under both finance and operating leases, the lessee records an asset and liability similar to having purchased the asset. However, the amount of depreciation expense and interest expense will differ for each type of lease. For short-term leases (the lease term is 12 months or less), the lessee records lease payments by debiting Rent Expense and crediting Cash. In some cases, like those illustrated in earlier chapters, Prepaid Rent is initially recorded with an adjusting entry at the end of the period to record Rent Expense. For purposes of this text, we assume that all leases are short-term leases.

Regardless of the type of lease, lease terms should be disclosed in the notes to the financial statements. These disclosures should include such items as the length of the lease, termination rights, and renewal options.

Link to McDonald's

McDonald's recently reported over \$13.2 billion of leased assets. The leases are normally for 20 years with an option to renew.

